

money. At the time I bought Chrysler, if everything went right, I thought I could make 400 percent, and if everything went wrong, I could lose 100 percent. This is something you had to recognize going in. As it turned out, I was pleasantly surprised and made fifteenfold on it.

There's no pat way to quantify these risks and rewards, but in designing your portfolio you might throw in a couple of stalwarts just to moderate the thrills and chills of owning four fast growers and four turnarounds. Again, the key is knowledgeable buying. You don't want to buy an overvalued stalwart and thus add to the very risk you're trying to moderate. Remember that during several years in the 1970s, even the wonderful Bristol-Myers was a risky pick. The stock went nowhere because investors had bid it up to 30 times earnings and it was only a 15 percent grower. It took Bristol-Myers a decade of consistent growth to catch up to the inflated price. If you bought it at that price, which was twice its growth rate, you took unnecessary chances.

It's a real tragedy when you buy a stock that's overpriced, the company is a big success, and still you don't make any money. That's what happened with Electronic Data Systems, the stock that had the 500 p/e ratio in 1969. Earnings grew dramatically over the next 15 years, up about twentyfold. The stock price (adjusted for splits) fell from \$40 all the way down to \$3 in 1974 and then rebounded, and in 1984 the company was bought out by General Motors for \$44, or about what the stock sold for ten years earlier.

Finally, your portfolio design may change as you get older. Younger investors with a lifetime of wage-earning ahead of them can afford to take more chances on tenbaggers than can older investors who must live off the income from their investments. Younger investors have more years in which they can experiment and make mistakes before they find the great stocks that make investing careers. The circumstances vary so widely from person to person that any further analysis of this point will have to come from you.

WATERING THE WEEDS

In the next chapter I'll explain what I know about when to sell a stock, but here I want to discuss selling as it relates to portfolio management. I'm constantly rechecking stocks and rechecking stories, adding and subtracting to my investments as things change. But I don't go into cash—except to have enough of it around to cover anticipated redemptions. Going into cash would be getting out of the market. My idea is to stay in the market forever, and to rotate stocks depending on the fundamental situations. I think if you decide that a certain amount you've invested in the stock market will always be invested in the stock market, you'll save yourself a lot of mistimed moves and general agony.